# China Auto/EV

Global Markets Research
10 July 2026

EQUITY: AUTOS & AUTO PARTS

## Same story for each month in 2Q26

### Sequential improvement ahead, but evident recovery unlikely in 2H26

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**Three consecutive months with 20%+ domestic market y-y decline in the second quarter; sequential improvement likely in 2H26F**

The China auto industry ended Jun-26 with 2.4mn wholesale shipments (-5.3% y-y while +6.6% m-m); PV retail sales, excluding minivans, were at 1.6mn units (-23.2% y-y while +6.1% m-m), according to CAAM and CPCA, showing a trend similar to that in Apr/May-26, considering an unexciting domestic market situation. EV outperformed ICE as the monthly China PV EV retail sales were at 1.0mn units in Jun-26 (-9.3% y-y while +6.0% m-m), while ICE car retail shipments declined 39% y-y in the domestic China market. Hence, EV penetration was at 62.3% in the month, keeping an upward trend.

For entire 1H26, China PV wholesale shipments were at 12.7mn, -6.0% y-y, and retail sales excluding minivan were at 8.7mn, -20.1% y-y, the lowest level since 2020. PV EV retail sales were at 4.7mn, -13.6% y-y. We reaffirm our view that 2026 would be a transition period for the China auto industry. After years of intensive price competition ( *Fig. 5* ), added with both the government's anti-involution approach and rising BOM cost this year, we believe China OEMs have no alternatives but shift from price competition to technology/quality competition, with a focus on brand recognition, or scarify quantity for quality. Theoretically, we believe this may pave the way for a healthier auto market development in the long run.

As we expect no major policy changes in the remaining part of 2026, we believe the overall market demand situation would remain generally unchanged vs 1H26 while a sequential domestic demand improvement (but not a turnaround story) is likely. Overall, we expect a double-digit y-y decline for the domestic China market and active players are pushing for new model launches with attractive new features/functions in order to regain market momentum, which we believe will likely take some time. For example, BYD (1211 HK, Buy) launched Great Tang and Seal 08 in Jun-26, and both the models have gained solid market demand with their ultra-fast charging capabilities. With its battery capacity ramping up and more blade battery 2.0 models in the pipeline, we believe the company will have the opportunity to gradually improve its domestic market performance.

**And overseas development remains the key pillar for China auto in 2026**

While the domestic market is entering a transition period, the overseas business did a rescue act for the China auto industry at the right time. China's auto industry exported 905k units of PVs (+80.3% y-y, +11.8% m-m) in Jun-26, according to CAAM, and YTD exports reached 4.4mn, +72% y-y. EV once again outperformed ICE cars' development in the overseas market. According to CPCA data, EV exports were at 500k during the month (+154% y-y), while ICE car exports were at 364k (+33% y-y).

For the PV exports market, 8 out of the 10 top 10 players exceeded 50%+ y-y shipment growth in 1H26 (*Fig. 19* ). And within the entire EV segment, almost all players enjoyed 70%+ y-y growth, including EV market leader BYD. Considering the maturity of the EV supply chain and active development for the entire industry in the past few years, we expect the strong export momentum for the China auto sector to continue, at least in the near-term, especially for China EV players, taking into account both the uncertainties over fuel prices and the sluggish domestic market demand situation.

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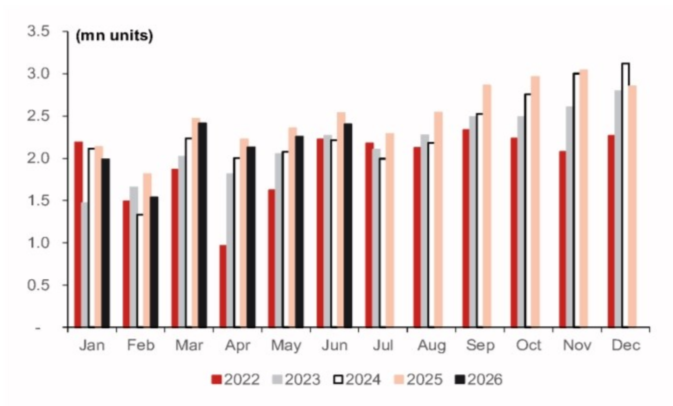
# Domestic market situation remains muted; major changes unlikely within 2026F

The China auto industry delivered 2.4mn units of PV wholesales in Jun-26 (-5.3% y-y while +6.6% m-m), according to the China Association of Automobile Manufacturers (CAAM). Once again, the data was impacted by muted domestic demand but partially offset by strong overseas growth. PV retail sales, excluding minivans, were at 1.6mn units (-23.2% y-y while +6.1% m-m), according to the China Passenger Car Association (CPCA), showing a 20% y-y decline for the third consecutive month. With such a market situation, the China PV EV monthly retail sales were at 1.0mn units in Jun-26 (-9.3% y-y while +6.0% m-m), continuing to outperform ICE cars as they recorded a third consecutive month with more than 38% y-y decline in domestic China market sales. As a result, EV penetration was at 62.3% in the month, showing the irreversible electrification trend in the China auto market.

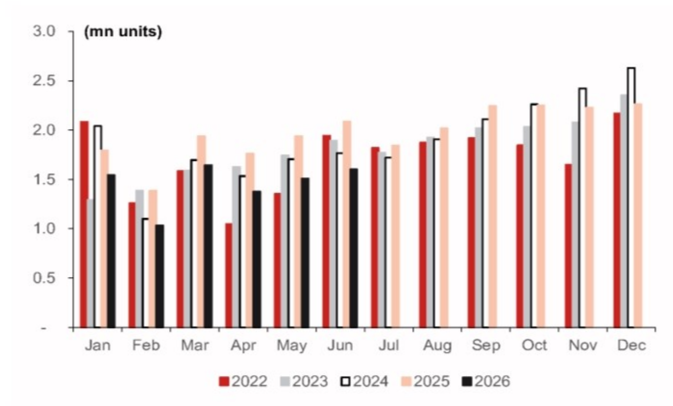
For overall 1H26, China PV wholesale shipments were at 12.7mn, -6.0% y-y, and retail sales excluding minivan were at 8.7mn, -20.1% y-y, which are the lowest levels since 2020. And PV EV retail sales were at 4.7mn, -13.6% y-y. As mentioned in our previous report (*URL* ), given the anti-involution tone set by the government (and therefore policy tightening around subsidies), and also the rising BOM (bill of materials) cost including batteries, memory and raw materials etc, the entire China auto sector is shifting from price competition (*Fig. 5* ) to technology/quality competition with a focus on brand recognition, in our view. This will likely pave the way for healthier (higher quality rather than quantity) auto market development in the long run, but leave 2026 as a transformation period for the entire industry, in our view. In 2H26, we expect the overall market situation to remain generally unchanged while 4Q26 could be slightly better vs 1H26, considering 4Q25 was not a relatively high base. Overall, we expect a double-digit y-y decline for the domestic China market, and overseas development will continue to help the entire industry.

**Fig. 1: China – PV monthly wholesales volumes**



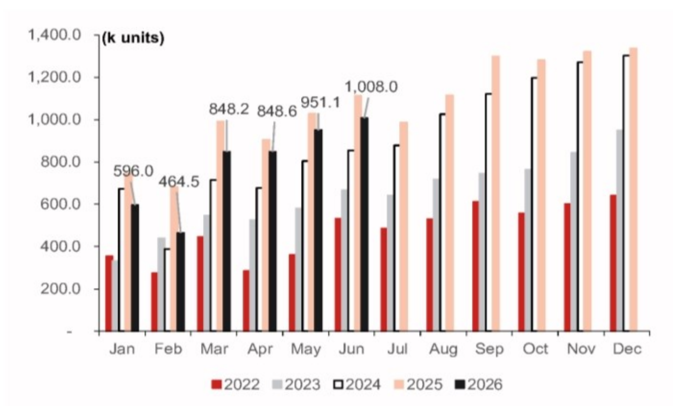

Source: CAAM, Nomura research

**Fig. 2: China – PV retail sales excluding minivans**




Source: CPCA, Nomura research

**Fig. 3: China – PV EV monthly retail sales**

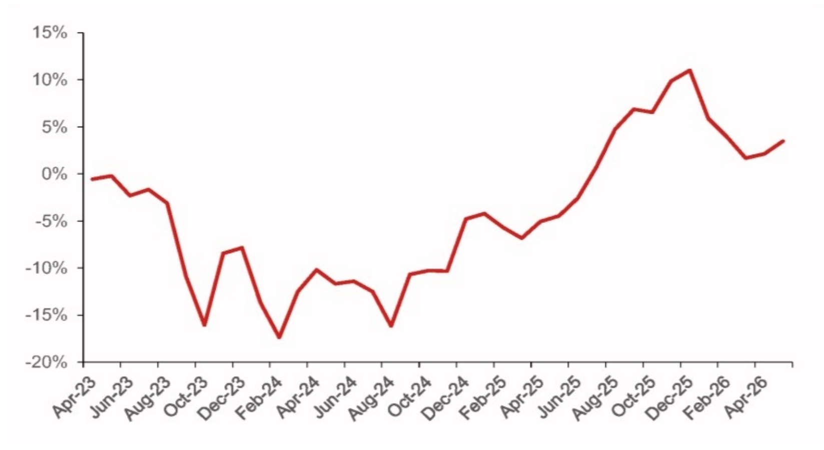



Source: CPCA, Nomura research

**Fig. 4: China – PV market EV penetration trends (retail)**


Source: CPCA, Nomura research

**Fig. 5: China PV average retail price y-y trend**




Source: Autohome Research Institute, Nomura research

Looking at individual player's performance in the domestic market, BYD recorded 224.5k units of retail sales in Jun-26 (-36.2% y-y, +8.2% m-m). Its EV retail market share was at 22.3% (-9.4pp y-y). With the launch of its latest new models with blade battery 2.0 (Great Tang and Seal 08) in the past few weeks, we see an improving order situation for the name in the domestic market, providing clarity over the demand for ultra-fast charging capabilities. Hence, with further ramp-up of its new battery capacity, we expect the company to gradually improve its local market performance.

Geely delivered 108.0k units of EV retail sales in Jun-26 (-6.0% y-y, -1.1% m-m). The company's EV market share remains relatively stable at 10.7% (+0.4pp y-y while -0.8pp m-m). And Leapmotor's retail sales were at 72.4k units in the month (+61.1% y-y, +17.9% m-m), clearly the outperformer within the mass market EV segment in terms of shipment growth and reaching a market share of 7.2% (+3.1pp y-y and +0.7pp m-m), in our view.

HIMA (Harmony Intelligent Mobility Alliance) delivered 50.6k of retail sales in Jun-26 (-3.7% y-y, +9.8% m-m), while Xiaomi's retail sales were at 34.7k (+36.4% y-y, +6.0% m-m). Tesla delivered 52.9k units of retail sales in the month (-13.9% y-y, +11.9% m-m).

NIO's retail sales were at 40.5k units (+62.6% y-y, +7.7% m-m). XPENG reported 32.6k units of retail sales in Jun-26 (+5.7% y-y, +27.0% m-m). Considering their latest models pipeline, we continue to expect likely sequential shipment improvement for both the names. Meanwhile, Li Auto delivered 30.9k of retail sales during the month (-14.8% y-y, -7.4% m-m). As the market feedback for its new L9/L8 series looks suboptimal, we believe Li Auto will likely continue facing challenges.

**Fig. 6: Select China EV OEMs' retail sales vs wholesales in Jun-26**

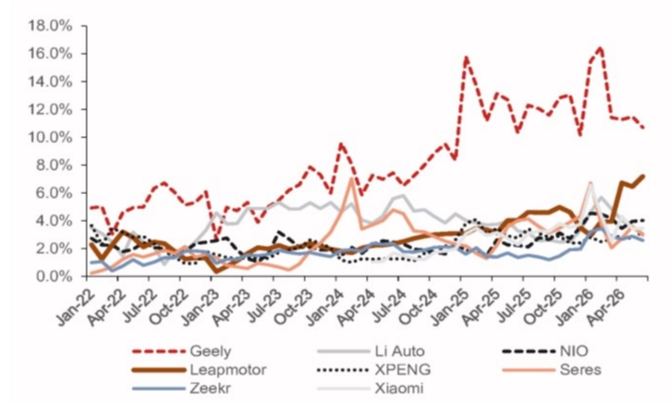
| Unit k | Jun-26 | May-26 | Jun-25 | y-y | m-m | Market share | Jun-26 wholesales | Retail vs wholesales |
|---|---|---|---|---|---|---|---|---|
| BYD | 224.5 | 207.4 | 352.1 | -36.2% | 8.2% | 22.3% | 397.3 | -43.5% |
| Geely | 108.0 | 109.2 | 114.8 | -6.0% | -1.1% | 10.7% | 161.4 | -33.1% |
| Tesla China | 52.9 | 47.3 | 61.5 | -13.9% | 11.9% | 5.3% | 89.1 | -40.6% |
| Changan Auto | 66.9 | 62.9 | 76.3 | -12.4% | 6.4% | 6.6% | | |
| SAIC GM Wuling | 43.0 | 47.2 | 51.3 | -16.0% | -8.8% | 4.3% | | |
| HIMA | 50.6 | 46.1 | 52.6 | -3.7% | 9.8% | 5.0% | 50.6 | 0.0% |
| Leapmotor | 72.4 | 61.4 | 44.9 | 61.1% | 17.9% | 7.2% | 93.4 | -22.5% |
| Li Auto | 30.9 | 33.4 | 36.3 | -14.8% | -7.4% | 3.1% | 30.9 | 0.0% |
| XPENG | 32.6 | 25.7 | 30.8 | 5.7% | 27.0% | 3.2% | 40.1 | -18.8% |
| Xiaomi | 34.7 | 32.8 | 25.5 | 36.4% | 6.0% | 3.4% | 34.7 | 0.0% |
| NIO | 40.5 | 37.6 | 24.9 | 62.6% | 7.7% | 4.0% | 40.6 | -0.2% |
| GAC Aion | 23.6 | 25.1 | 25.9 | -8.8% | -6.0% | 2.3% | 33.7 | -29.9% |
| Zeekr | 26.1 | 27.6 | 15.3 | 71.4% | -5.3% | 2.6% | 35.2 | -25.7% |
| Seres | 30.2 | 34.3 | 44.7 | -32.4% | -12.0% | 3.0% | 30.3 | -0.4% |

Source: CPCA, CAAM, company data, Nomura research

**Fig. 7: BYD's EV retail sales market share trend**


Source: CPCA, Nomura research

**Fig. 8: Select EV OEMs' retail sales market share trend**




Source: CPCA, Nomura research

On the entire 1H26 market performance, Geely regained leading position in the domestic market in 1H26 with 1.0mn of shipment, as BYD delivered 991k of sales while its market share dipped 3.4pp y-y. Other major market share gainers were Leapmotor (+1.2pp y-y), HIMA (+0.9pp y-y) and NIO (+1.1pp y-y).

In the EV segment, BYD's market share dipped 8.5pp y-y in 1H26, and Leapmotor, HIMA, NIO and Xiaomi were the clear outperformers in terms of market share gain.

**Fig. 9: China PV retail sales ranking in 1H26**

| Unit k | 1H26 | 1H25 | y-y | Market share |
|---|---|---|---|---|
| Geely | 1,021.3 | 1,225.7 | -16.7% | 11.7% |
| BYD | 990.9 | 1,610.0 | -38.5% | 11.4% |
| FAW VW | 558.0 | 743.5 | -25.0% | 6.4% |
| Changan Auto | 546.4 | 683.2 | -20.0% | 6.3% |
| Chery | 412.9 | 649.5 | -36.4% | 4.7% |
| SAIC VW | 380.8 | 522.9 | -27.2% | 4.4% |
| GAC Toyota | 341.1 | 364.2 | -6.3% | 3.9% |
| FAW Toyota | 273.7 | 377.1 | -27.4% | 3.1% |
| SAIC GM Wuling | 264.6 | 377.7 | -30.0% | 3.0% |
| Leapmotor | 260.2 | 194.7 | 33.7% | 3.0% |
| HIMA | 242.2 | 204.0 | 18.7% | 2.8% |
| Tesla China | 239.0 | 263.4 | -9.3% | 2.7% |
| Great Wall Motor | 234.8 | 305.9 | -23.2% | 2.7% |
| Brilliance BMW | 221.0 | 269.9 | -18.1% | 2.5% |
| SAIC GM | 210.4 | 250.4 | -16.0% | 2.4% |
| Dongfeng Nissan | 206.9 | 259.5 | -20.3% | 2.4% |
| Li Auto | 193.5 | 203.9 | -5.1% | 2.2% |
| NIO | 190.6 | 114.1 | 67.1% | 2.2% |
| Xiaomi | 185.1 | 157.9 | 17.2% | 2.1% |
| Beijing Mercedes-Benz | 165.7 | 240.7 | -31.2% | 1.9% |
| GAC Aion | 137.9 | 143.0 | -3.6% | 1.6% |
| XPENG | 134.4 | 178.5 | -24.7% | 1.5% |
| Dongfeng Honda | 116.1 | 149.6 | -22.4% | 1.3% |
| GAC Trumpchi | 110.5 | 113.7 | -2.8% | 1.3% |
| GAC Honda | 89.4 | 165.3 | -45.9% | 1.0% |

Source: CPCA, Nomura research

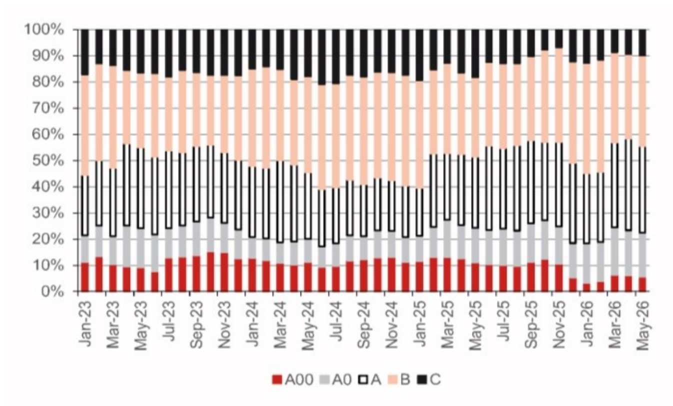
**Fig. 10: China EV retail sales ranking in 1H26**

| Unit k | 1H26 | 1H25 | y-y | Market share |
|---|---|---|---|---|
| BYD | 990.9 | 1,610.0 | -38.5% | 21.0% |
| Geely | 578.3 | 685.8 | -15.7% | 12.3% |
| Changan Auto | 321.7 | 367.5 | -12.5% | 6.8% |
| Leapmotor | 260.2 | 194.7 | 33.7% | 5.5% |
| HIMA | 242.2 | 204.0 | 18.7% | 5.1% |
| Tesla China | 239.0 | 263.4 | -9.3% | 5.1% |
| SAIC GM Wuling | 202.4 | 316.0 | -36.0% | 4.3% |
| Li Auto | 193.5 | 203.9 | -5.1% | 4.1% |
| NIO | 190.6 | 114.1 | 67.1% | 4.0% |
| Xiaomi | 185.1 | 157.9 | 17.2% | 3.9% |
| GAC Aion | 137.9 | 143.0 | -3.6% | 2.9% |
| XPENG | 134.4 | 178.5 | -24.7% | 2.8% |
| Great Wall Motor | 122.1 | 139.3 | -12.3% | 2.6% |

Source: CPCA, Nomura research

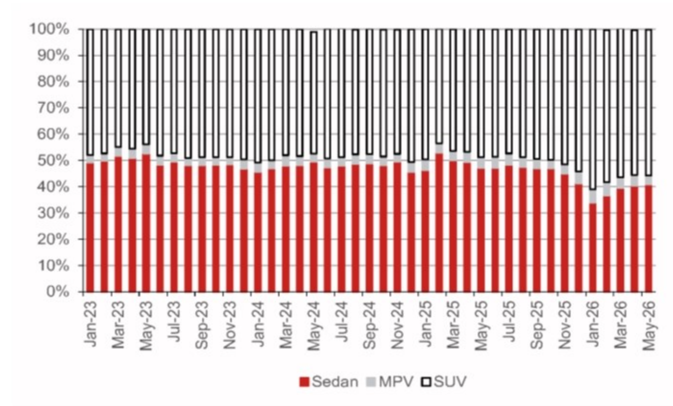
The government's anti-involution approach impacted A00 EV's performance the most and therefore its contribution to the EV segment remained at a low level of 6% in May-26. And such a trend should continue in the future, in our view.

**Fig. 11: China EV retail sales by size**



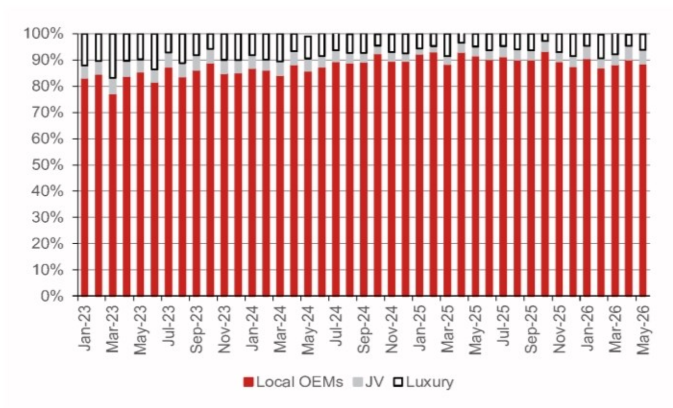

Source: CPCA, Nomura research

**Fig. 12: China EV retail sales by vehicle type**



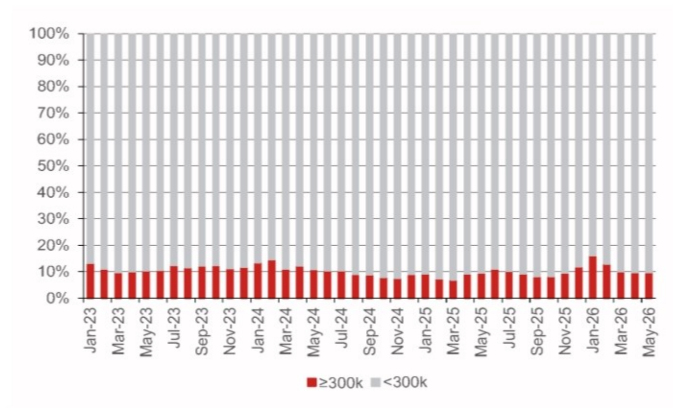

Source: CPCA, Nomura research

**Fig. 13: China EV retail sales by brand type**




Source: CPCA, Nomura research

**Fig. 14: China EV retail sales by price range**

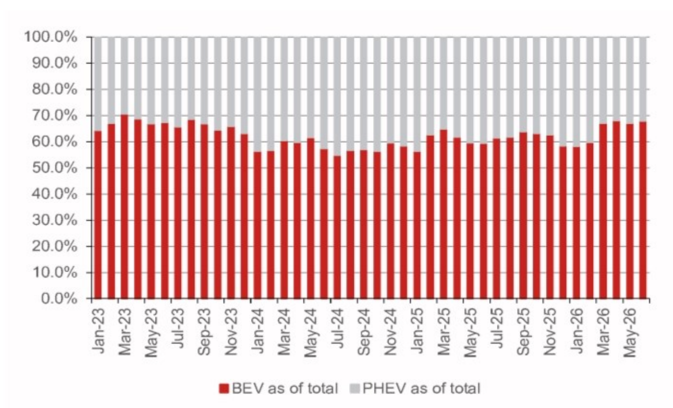



Source: CPCA, Nomura research

Thanks to the improving battery technology with reduced mileage and charging concerns, BEVs continued to outperform PHEVs+EREVs in Jun-26, as they represented 68.0% of the total EV sales in June, while PHEVs/EREVs together represented 32.0% of total EV sales.

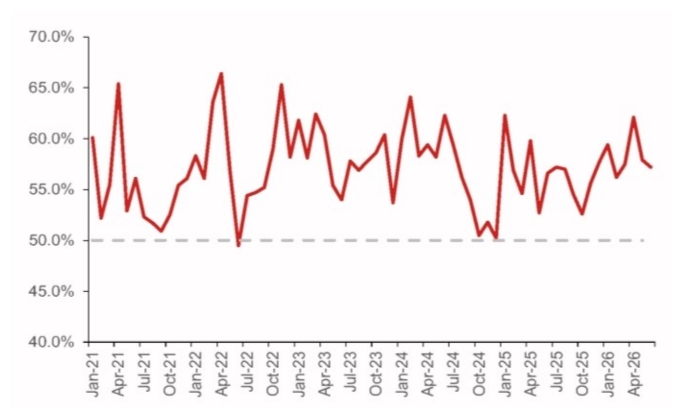
The Inventory Alert Index came in at 57.2% in the month, remaining above the threshold, which is not surprising considering the domestic market demand situation, in our view.

**Fig. 15: China EV retail sales by type**




Note: PHEV includes EREV
Source: CPCA, Nomura research

**Fig. 16: China vehicle Inventory Alert Index**

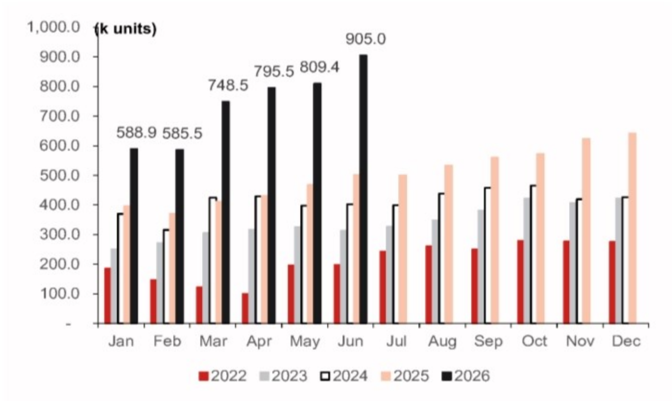



Note: Readings above 50 give cause for concern over inventory levels, with higher numbers indicating greater inventory build-up pressure.
Source: CADA, Nomura research

# Overseas markets remain the lone bright spot for the China auto industry

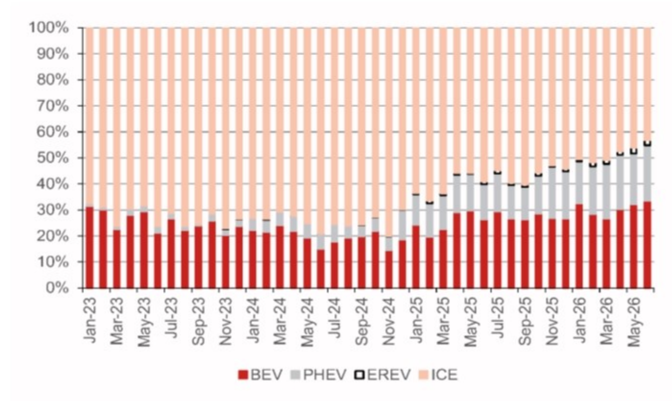
Exports remained the only bright spot for the China auto industry in Jun-26. According to CAAM, China's auto industry exported 905k units of PVs (+80.3% y-y, +11.8% m-m) in June. EV played a key role in the overseas market as well. According to CPCA data, EV exports were at 500k (+154% y-y), while ICE car exports were at 364k (+33% y-y).

**Fig. 17: China – monthly PV exports**




Source: CAAM, MarkLines, Nomura research

**Fig. 18: China - monthly PV exports by vehicle type**




Source: CPCA, Nomura research

For the PV export market, 8 out of 10 top 10 players exceeded 50%+ y-y shipment growth in 1H26 (*Fig. 19*). And within the entire EV segment, almost all players enjoyed a 70%+ y-y growth, including EV market leader BYD, with 73.6% y-y export growth and enjoyed 34.5% market share. Considering the maturity of supply chain for EV and active development for the entire industry in the past few years, we expect the strong export momentum for the China auto sector to continue, at least in the near term, especially for China EV players, considering both uncertainties over fuel prices and the domestic market demand situation.

**Fig. 19: 1H26 PV exports of top 10 players**

| Unit k | 1H26 | 1H25 | y-y | Market shar |
|---|---|---|---|---|
| Chery | 931.6 | 545.1 | 70.9% | 21.9% |
| BYD | 769.3 | 443.2 | 73.6% | 18.1% |
| Geely | 472.5 | 182.9 | 158.3% | 11.1% |
| SAIC Motor PV | 404.2 | 242.6 | 66.6% | 9.5% |
| Great Wall Motor | 256.0 | 167.5 | 52.8% | 6.0% |
| Tesla China | 229.0 | 101.1 | 126.6% | 5.4% |
| Changan Auto | 152.1 | 149.5 | 1.7% | 3.6% |
| SAIC GM Wuling | 148.1 | 112.0 | 32.3% | 3.5% |
| Dongfeng Motor | 107.7 | 59.1 | 82.1% | 2.5% |
| Leapmotor | 96.3 | 20.4 | 372.6% | 2.3% |

Source: CPCA, Nomura research

**Fig. 20: 1H26 EV exports of top 10 players**

| Unit k | 1H26 | 1H25 | y-y | Market shar |
|---|---|---|---|---|
| BYD | 769.3 | 443.2 | 73.6% | 34.5% |
| Chery | 290.3 | 109.8 | 164.4% | 13.0% |
| Geely | 275.4 | 39.3 | 601.4% | 12.3% |
| Tesla China | 229.0 | 101.1 | 126.6% | 10.3% |
| SAIC Motor PV | 124.8 | 43.7 | 185.6% | 5.6% |
| Leapmotor | 96.3 | 20.4 | 372.6% | 4.3% |
| Dongfeng Motor | 71.6 | 26.0 | 175.3% | 3.2% |
| SAIC GM Wuling | 61.1 | 35.7 | 71.2% | 2.7% |
| Changan Auto | 53.3 | 23.9 | 123.1% | 2.4% |
| XPENG | 31.6 | 18.7 | 69.0% | 1.4% |

Source: CPCA, Nomura research

# Appendix A-1

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### Materially mentioned issuers

| Issuer | Ticker | Price | Price date | Stock rating | Sector rating | Disclosures |
|---|---|---|---|---|---|---|
| BYD | 1211 HK | HKD 84.90 | 10-Jul-2026 | Buy | N/A | A10 |
| NIO Inc | NIO US | USD 4.78 | 09-Jul-2026 | Buy | N/A | |
| XPENG Inc. | XPEV US | USD 12.98 | 09-Jul-2026 | Buy | N/A | A10 |

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

**BYD (1211 HK)** **HKD 84.90 (10-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)


| Date | Rating | Target price | Closing price |
|---|---|---|---|
| 02-Apr-26 | | 127.00 | 103.90 |
| 01-Sep-25 | | 132.00 | 108.40 |
| 03-Apr-25 | | 163.67 | 124.93 |
| 26-Feb-25 | | 165.33 | 129.93 |
| 21-Oct-24 | | 125.00 | 95.80 |
| 21-Jun-24 | | 101.67 | 78.73 |
| 01-Mar-24 | | 92.00 | 64.90 |
| 19-Oct-23 | | 127.33 | 82.67 |

For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** Our TP of HKD127.00 is based on SOTP valuation method. We value BYD's auto and related products segment at CNY959bn based on 25x FY26F P/E multiple (12% discount comparing with BYD's historical median level while also based on 1x PEG during FY25-28F) while value BYD Electronics at CNY57.2bn based on 17x FY26E (based on Bloomberg consensus estimates) P/E multiple (0.5SDV above its historical median level). Our benchmark for the stock is HSI Index.
**Risks that may impede the achievement of the target price** Downside risks include: (1) further intensifying market competition dynamics which may have negative impact to its margins and/or market share; (2) slower-than-expected overseas business expansion; (3) less-than-expected positive effect on demand from further upgrade of its technology platform.

**NIO Inc (NIO US)** **USD 4.78 (09-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)


| Date | Rating | Target price | Closing price |
|---|---|---|---|
| 22-Apr-26 | | 8.60 | 6.48 |
| 11-Mar-26 | Buy | | 5.47 |
| 11-Mar-26 | | 6.60 | 5.47 |
| 22-Sep-25 | | 8.40 | 6.91 |
| 23-Mar-25 | | 5.00 | 4.50 |

For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** Our TP of USD8.60 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.8%, market risk premium of 10.1% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.1x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

**Risks that may impede the achievement of the target price** Downside risks include: 1) failure to ramp up production capacity meeting its rising demand; 2) fail to gain further market share from new models; 3) less than expected opex improvement lead to more pressure on its financials.

**XPENG Inc. (XPEV US)** **USD 12.98 (09-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)


| Date | Rating | Target price | Closing price |
|---|---|---|---|
| 22-Mar-26 | | 23.00 | 17.55 |
| 19-Mar-25 | Buy | | 23.80 |
| 19-Mar-25 | | 30.00 | 23.80 |
| 19-Aug-23 | | 14.00 | 14.98 |

For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** Our TP of USD23.00 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.9%, market risk premium of 10.9% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.6x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

**Risks that may impede the achievement of the target price** Downside risks include: 1) weaker-than-expected growth for its new models to be launched within 2026; 2) further competition intensified in China auto market; 3) slower-than-expected development in robotaxi and humanoid robots.

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